

Retirement Savings Plan - Household Review 2026

Prepared for our annual money meeting

Current balances

- Employer 401(k): \$148,000, contributing 10 percent plus 4 percent employer match
- Roth IRA (me): \$41,000
- Roth IRA (spouse): \$36,500
- Taxable brokerage: \$22,000

Goals

Retire at 60 with an annual spending target of \$80,000 in today's dollars.

Using the 4 percent rule, that requires roughly \$2 million invested.

Traditional vs Roth

Traditional 401(k) contributions lower taxes now; Roth contributions are taxed now but grow and come out tax free. We expect a similar tax bracket in retirement, so we split: 401(k) pre-tax up to the match, then max both Roth IRAs, then back to the 401(k).

Asset allocation

- 85 percent stocks (total US market and international index funds)
- 15 percent bonds, increasing by 1 percent per year after age 45
- Rebalance once a year in January.

Action items

1. Raise 401(k) contribution to 12 percent after the April raise.
2. Check the fund expense ratios - move anything above 0.20 percent.
3. Update beneficiaries on all accounts after the baby is born.
4. Look into a backdoor Roth if income passes the limit.

Projection

At a 6 percent real return, we reach the target at age 59.